The Unraveling Guarantee: Has the U.S. Lost Its Exorbitant Privilege?

A Thorough Look Into U.S. Federal Debt, Structural Unsustainability, and the Rising Probability of Implicit Default

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Table of Contents

Executive Summary 1
I. Historical Architecture of U.S. Debt Dominance 2
1.1 The Post-Bretton Woods Monetary Order 2
1.2 The 2008 Global Financial Crisis and Its Global Externalities 2
1.3 The Post-2020 Inflection Point 3
II. The Current Fiscal Position: Anatomy of Unsustainability 4
2.1 Debt Levels and Trajectory 4
2.2 The Interest Expense Trap 4
2.3 The Maturity Structure Problem 4
III. Fiscal Dominance and the Erosion of Monetary Independence 6
3.1 What Fiscal Dominance Means 6
3.2 The Federal Reserve's Balance Sheet As a Contingent Liability 7
3.3 Political Dysfunction and The Debt Ceiling 7
IV. The Anatomy of Implicit Default 8
4.1 Distinguishing Explicit from Implicit Default 8
4.2 Channel 1: Inflation 8
4.3 Channel 2: Financial Repression 8
4.4 Channel 3: Dollar Debasement 9
V. Addressing the Counterarguments 10
5.1 "The U.S. Can Always Print" 10
5.2 "Interest Rates Will Come Back Down" 11
5.3 "Growth Will Solve the Problem" 11
5.4 "Japan Has Higher Debt And Is Fine" 12
VI. Why This Moment Is Different 13
6.1 The Confluence of Adverse Factors 13
6.2 The Weaponization of The Dollar 13
6.3 The Eroding Institutional Framework 14
6.4 The Nonlinear Risk 14
VII. Investment and Geopolitical Implications 15
7.1 For Fixed-Income Investors 15
7.2 For Global Reserve Managers 15
7.3 For The Global Economic Order 15
VIII. Conclusion: The Arithmetic Is Unforgiving 17
References 18

Executive Summary

The United States federal government carries over $36 trillion in gross public debt as of early 2026 (U.S. Treasury, 2026), a figure that exceeds 120% of GDP and continues to grow on an accelerating trajectory. This report argues that U.S. sovereign debt has crossed a threshold of structural unsustainability, not in the sense that a formal default is imminent, but in the more consequential sense that the fiscal position of the United States can no longer be stabilized through any politically plausible combination of spending cuts and revenue increases (CBO, 2025). The arithmetic of compounding interest on an expanding debt base, layered atop persistent primary deficits, has created a dynamic in which debt grows faster than the economy that services it.

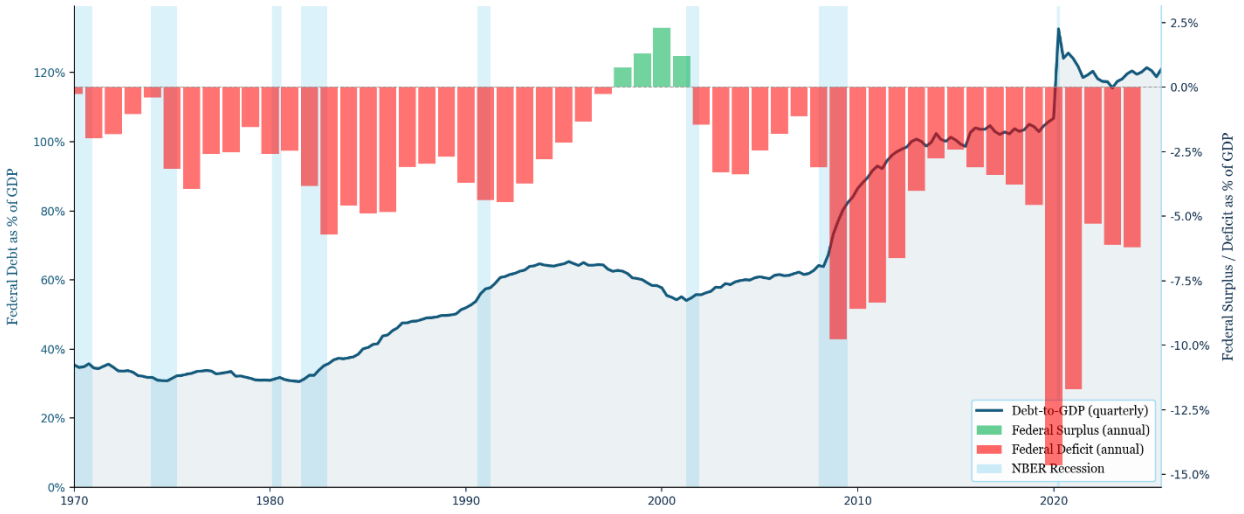
This draws a critical distinction between explicit default (a missed coupon or principal payment) and implicit default, which encompasses inflation-driven erosion of real bondholder returns, financial repression through yield suppression, and debasement of the dollar as a store of value. The central thesis is that the probability of implicit default, broadly defined, is higher today than at any point in modern U.S. history, including the inflationary 1970s and the post-2008 financial crisis era.

The mechanism through which this will most likely manifest is fiscal dominance: a regime in which the scale of government debt forces monetary policy to subordinate its inflation mandate to the government's financing needs (Sargent & Wallace, 1981). In such a regime, interest rates cannot rise sufficiently to contain inflation without triggering a sovereign debt spiral, and they cannot fall sufficiently to ease fiscal pressure without reigniting inflationary pressures. The Federal Reserve, in effect, loses its operational independence, not through legislation, but through arithmetic.

This report presents the data, traces the historical precedents, models the forward dynamics, and evaluates the counterarguments. The conclusion is not that the United States will default in the conventional sense. It is that the United States has become a structurally unreliable economic partner, one whose obligations to creditors, trading partners, and reserve holders are increasingly contingent on political choices that the American system appears incapable of making.

U.S. Federal Debt & Fiscal Balance

Gross federal debt as % of GDP (left axis) | Annual surplus/deficit as % of GDP (right axis) | Shaded = NBER recessions



Sources: FRED (GFDEGDQ188S, FYFSGDA188S, USREC) | (c) 2026 Ahmadi Research

I. Historical Architecture of U.S. Debt Dominance

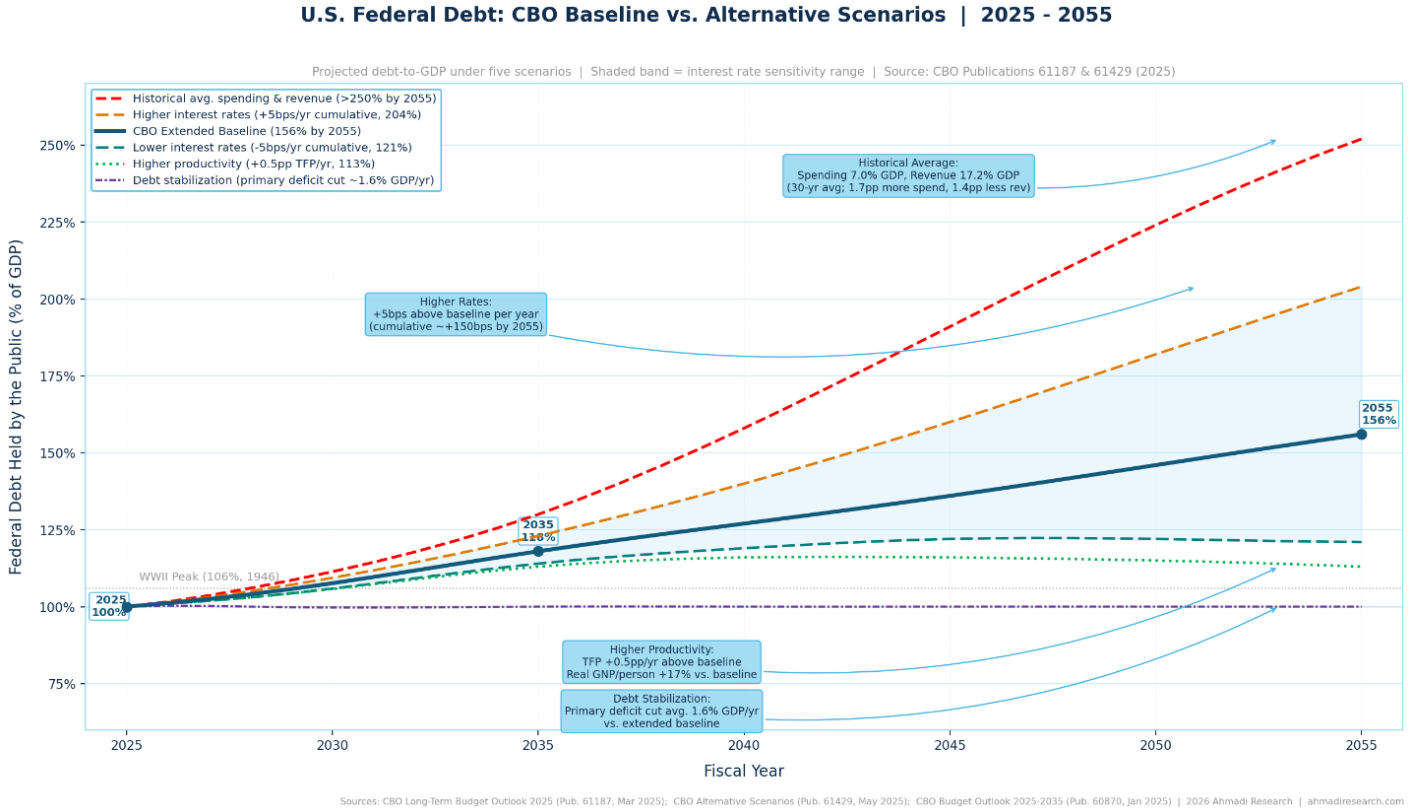
1.1 The Post-Bretton Woods Monetary Order

The modern architecture of U.S. sovereign creditworthiness rests on a foundation that is younger and more contingent than most market participants appreciate. The Bretton Woods system, established in 1944, anchored the global monetary order to a dollar convertible into gold at $35 per ounce (Eichengreen, 2011). When President Nixon suspended convertibility on August 15, 1971, the United States effectively defaulted on the terms under which foreign central banks had accumulated dollar reserves. The transition to floating exchange rates was not a neutral policy choice; it was a unilateral abrogation of commitments, facilitated by the absence of any enforcement mechanism against the world's dominant military and economic power (Irwin, 2013).

What replaced the gold standard was a system of fiat-currency hegemony in which the dollar's reserve status derived not from an anchor to a scarce commodity but from the depth and liquidity of U.S. Treasury markets, the rule of law in U.S. jurisdictions, and a general confidence (increasingly circular in nature) that the United States would honor its obligations in real terms (Prasad, 2014). This confidence has been the critical input sustaining low borrowing costs for the U.S. government for over five decades.

1.2 The 2008 Global Financial Crisis and Its Global Externalities

The 2008 financial crisis represented the most severe test of dollar credibility since 1971, yet paradoxically it reinforced dollar dominance in the short term. As the global financial system seized, capital fled to the perceived safety of U.S. Treasuries even though the crisis had originated in the U.S. housing and shadow banking sectors (Bernanke, 2015). The Federal Reserve's response (zero interest rates and multiple rounds of quantitative easing totaling over $4.5 trillion in asset purchases between 2008 and 2014) stabilized the domestic financial system but imposed significant costs on the rest of the world (Federal Reserve, 2015).



Emerging market economies experienced volatile capital flows, commodity-price distortions, and currency instability driven by Federal Reserve policy choices made with little regard for global spillover effects (Rey, 2013; Rajan, 2014). The European sovereign debt crisis of 2010–2012, while primarily a function of eurozone structural flaws, was precipitated by a U.S.-origin financial shock. The moral hazard embedded in "too big to fail" guarantees extended to a global scale: the world learned that when U.S. financial institutions failed, non-U.S. creditors and economies would absorb a disproportionate share of the adjustment cost.

1.3 The Post-2020 Inflection Point

The COVID-19 pandemic response marked a qualitative break in U.S. fiscal behavior. Between March 2020 and December 2021, Congress authorized approximately $5.2 trillion in emergency spending, financed overwhelmingly by debt issuance that was effectively monetized through concurrent Federal Reserve asset purchases (CBO, 2021; Federal Reserve, 2022). Federal debt held by the public surged from roughly 79% of GDP at the end of fiscal year 2019 to over 97% by the end of fiscal year 2021, an increase of nearly 20 percentage points in just two years (CBO, 2022).

What distinguishes the post-2020 period from prior episodes of wartime or crisis-driven debt accumulation is the absence of any subsequent fiscal consolidation. After World War II, the United States ran primary surpluses for over a decade and benefited from rapid real GDP growth, reducing debt-to-GDP from over 100% to below 50% by the mid-1960s (Reinhart & Rogoff, 2010). After the 2008 crisis, deficits narrowed from 9.8% of GDP in 2009 to 2.4% by 2015 (OMB, 2016). No comparable consolidation has occurred or is projected following the COVID-era spending surge. The Congressional Budget Office's latest baseline projections show deficits persisting above 5% of GDP through the entire forecast horizon, with debt-to-GDP reaching approximately 156% by 2055 (CBO, 2025).

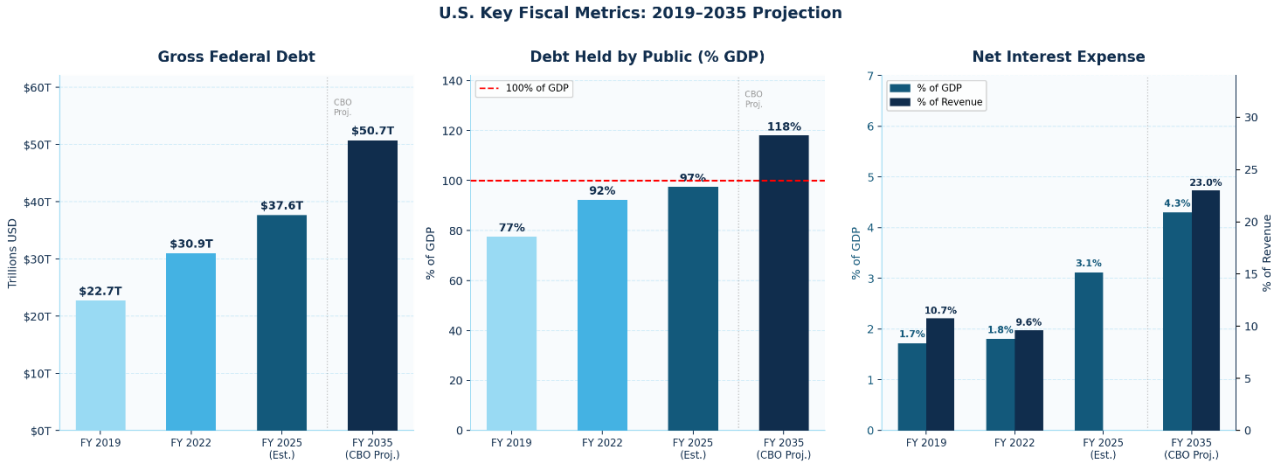
II. The Current Fiscal Position: Anatomy of Unsustainability

2.1 Debt Levels and Trajectory

As of Q4 2025, total federal debt stood at approximately $37.6 trillion, of which roughly $36.47 trillion was held by the public (the economically relevant measure, excluding intragovernmental holdings) (U.S. Treasury, 2026). The gross Federal debt now exceeds 120% of GDP on a gross basis. Even on a net basis (adjusting for financial assets held by the government) the ratio exceeds historical precedent outside of the immediate post-World War II period (BEA, 2025).

twelve months (a consequence of the Treasury's heavy reliance on short-duration bills during 2023–2024), the effective rate on the total stock will continue to climb even if market yields remain flat from current levels (TBAC, 2025).

This creates a pernicious feedback loop: higher rates increase interest expense, which widens the deficit, which requires more issuance, which puts upward pressure on rates, which further increases interest expense. The Congressional Budget Office projects net interest costs will consume over 23% of all federal revenue by 2035, a level at which debt service crowds out discretionary spending and constrains the



Sources: FRED (GFDEBTN, FYGFDPUN, FYFSGDA188S, MTSDS133FMS, FYOINT, FYFRGDA188S, GDP). FY2025 deficit from monthly MTS data. FY2035: CBO Long-Term Budget Outlook 2025 (Pub. 60870) extended baseline.

2.2 The Interest Expense Trap

The single most consequential development in U.S. fiscal dynamics is the explosion of net interest expense. In fiscal year 2025, net interest on the federal debt is estimated at approximately $950 billion, exceeding defense spending for the first time in U.S. history (CBO, 2025). This figure has roughly tripled from $325 billion in fiscal year 2020, driven not by an increase in the debt stock alone but by the repricing of that stock at higher interest rates as low-coupon pandemic-era issuances mature and are refinanced (U.S. Treasury, 2025).

The weighted average interest rate on outstanding Treasury debt has risen from approximately 1.8% in mid-2022 to an estimated 3.1% of GDP as of late 2025 (U.S. Treasury, 2025). With roughly $6.2 trillion in marketable Treasury securities maturing within the next

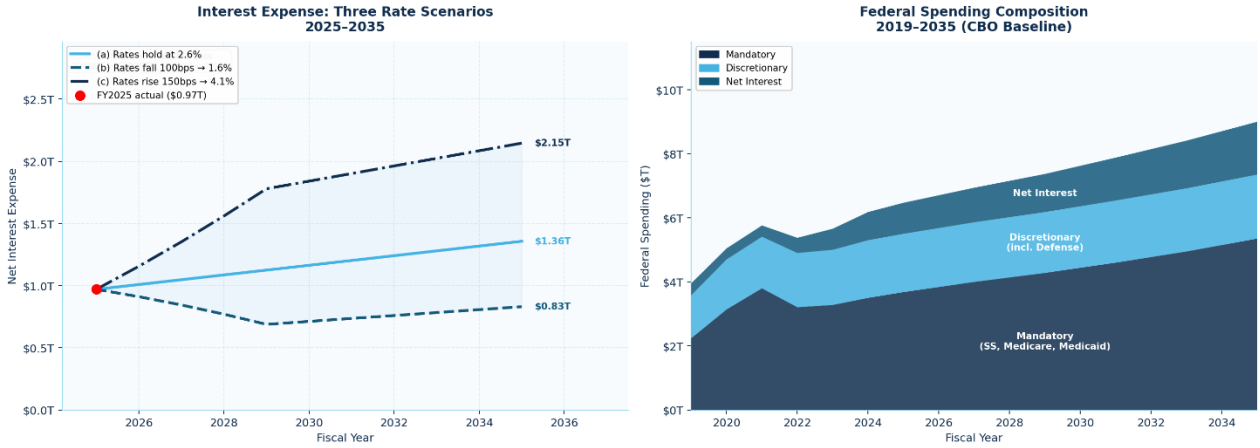
government's ability to respond to economic shocks (CBO, 2025).

2.3 The Maturity Structure Problem

The maturity profile of outstanding Treasury debt compounds the refinancing risk. During 2023 and 2024, the Treasury leaned heavily on Treasury bills (maturities under one year) to fund deficits, partly to avoid locking in high long-term rates and partly because bill demand from money-market funds remained robust following the drawdown of the Federal Reserve's reverse repo facility (TBAC, 2024). As a result, the weighted average maturity of outstanding marketable debt shortened from approximately 75 months in late 2021 to roughly 68 months by mid-2025 (U.S. Treasury, 2025b).

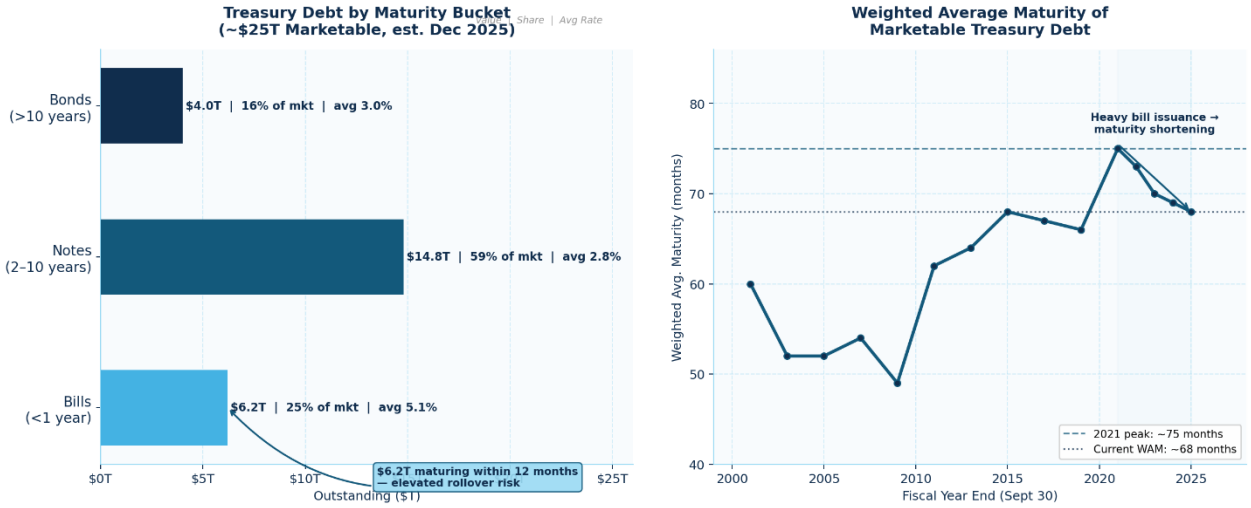
A shorter maturity profile means a larger share of the debt stock must be refinanced each year, amplifying sensitivity to rate movements. If the Treasury pivots back toward longer-duration issuance to reduce rollover risk, it must offer yields sufficient to attract buyers at the long end of the curve, buyers who are increasingly skeptical of the long-term real return on U.S. sovereign obligations. The term premium, which had been compressed or negative for much of the post-2008 period, has turned persistently positive since late 2023, reflecting a structural repricing of duration risk in U.S. Treasuries (Adrian, Crump & Moench, 2013; Federal Reserve Bank of New York, 2025).

Section 2.2 — The Interest Expense Trap



Left: modelled from live FRED data (FYOINT, GFDEBTN FY2025); debt grows $1.5T/yr per CBO baseline. Right: FRED (FYOINT) for net interest; OMB Historical Tables 2026 (Table 8.1) for mandatory/discretionary; 2027–2035 from CBO Budget & Economic Outlook 2025 (Pub. 61187).

Section 2.3 — The Maturity Structure Problem



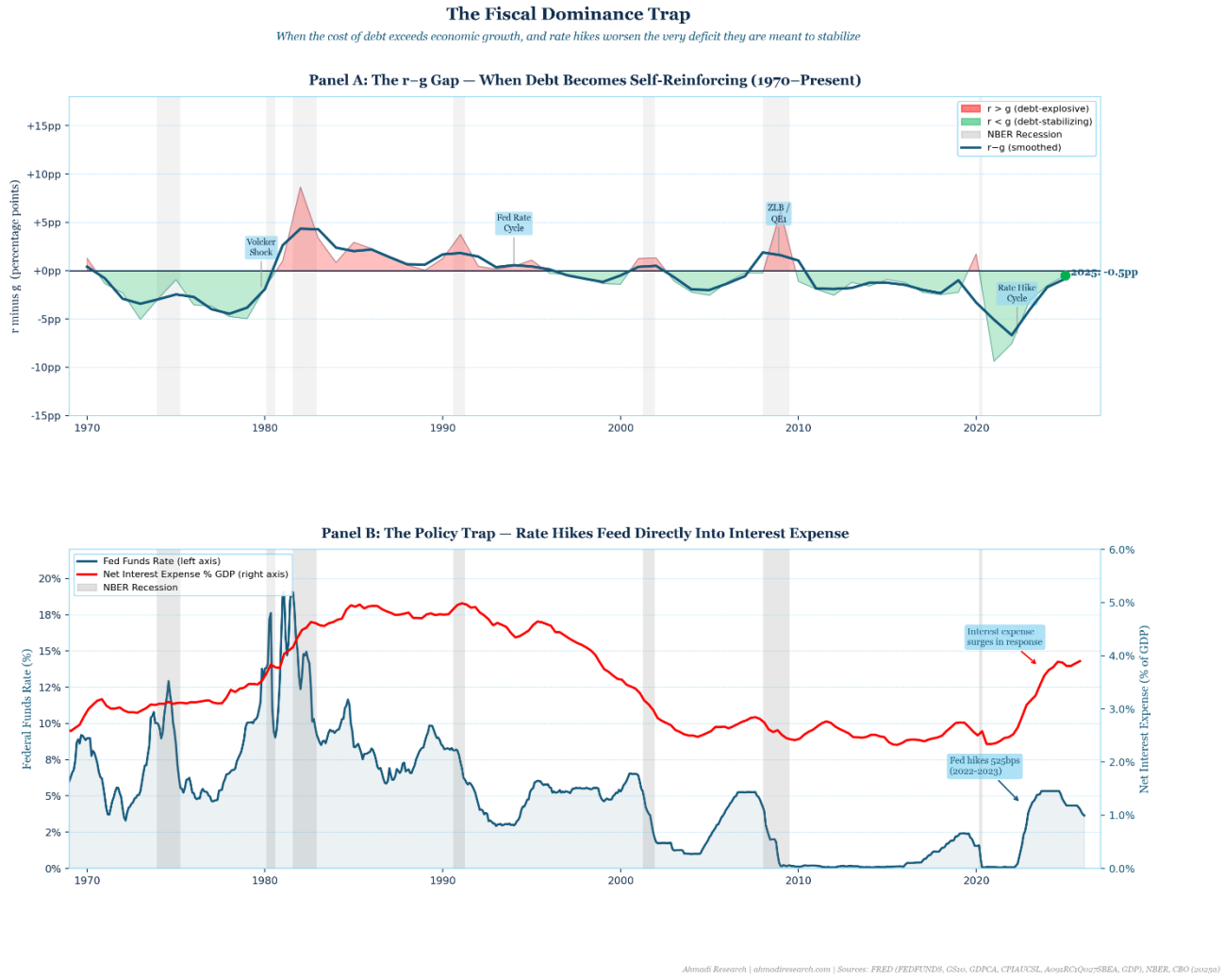
Left: U.S. Treasury Monthly Statement of the Public Debt, Dec 2025 (Table III-A). Right: U.S. Treasury Debt Management Annual Reports; TBAC Quarterly Presentations (2001–2025). WAM values are approximate fiscal-year-end readings.

III. Fiscal Dominance and the Erosion of Monetary Independence

3.1 What Fiscal Dominance Means

Fiscal dominance is a macroeconomic regime in which the central bank's policy decisions become subordinated (implicitly or explicitly) to the government's borrowing needs (Sargent & Wallace, 1981). In a textbook monetary-dominant regime, the central bank sets interest rates to achieve its inflation target, and fiscal policy adjusts to remain solvent at those rates. In a fiscally dominant regime, the government's debt dynamics constrain the central bank's ability to tighten policy, because sufficiently high interest rates would trigger a debt spiral, forcing the central bank to either monetize the debt or accept a sovereign default (Cochrane, 2023).

The United States is not yet in a fully fiscally dominant regime, but it is moving unmistakably in that direction. The Federal Reserve's rate-hiking cycle of 2022–2023 (the fastest in four decades) raised the federal funds rate from near zero to 5.25–5.50% (Federal Reserve, 2023). This had the intended effect of slowing inflation from its 9.1% peak in June 2022 to approximately 2.8% by late 2025 (BLS, 2025). But it also increased the government's interest bill by hundreds of billions of dollars per year, contributing to deficits that exceeded 6% of GDP even in the absence of recession (CBO, 2025).



The critical question is what happens in the next recession. When the economy weakens and deficits widen further through automatic stabilizers and potential discretionary stimulus, the Federal Reserve will face a dilemma with no good options: raise rates to fight any resurgent inflation (widening the deficit and risking

a debt spiral) or cut rates to ease fiscal pressure (risking inflation expectations becoming unanchored). The fiscal space for counter-cyclical spending has been largely exhausted in a period of economic expansion, the very opposite of responsible fiscal management.

3.2 The Federal Reserve's Balance Sheet as a Contingent Liability

The Federal Reserve's balance sheet, while reduced from its 2022 peak of $8.9 trillion through quantitative tightening, remains at approximately $6.7 trillion as of early 2026 (Federal Reserve, 2026). The unrealized losses on the Fed's portfolio of long-duration Treasuries and mortgage-backed securities (acquired at much lower yields during 2020–2021) are estimated at over $1 trillion (Federal Reserve, 2025). These losses do not force the Fed into operational difficulty (it can operate with negative capital by deferring remittances to the Treasury), but they create a political and perceptual vulnerability that constrains future policy.

More importantly, the Fed's accumulated deferred asset, representing future remittances owed to the Treasury that will not be made until the Fed's operating losses are recovered, stood at approximately $210 billion as of late 2025 (Federal Reserve, 2025). This is a direct transfer of cost from monetary policy operations to the fiscal position, and it means the Treasury will receive no Fed remittances for years. In the decade prior to 2022, Fed remittances averaged over $80 billion per year (Federal Reserve, 2022).

3.3 Political Dysfunction and the Debt Ceiling

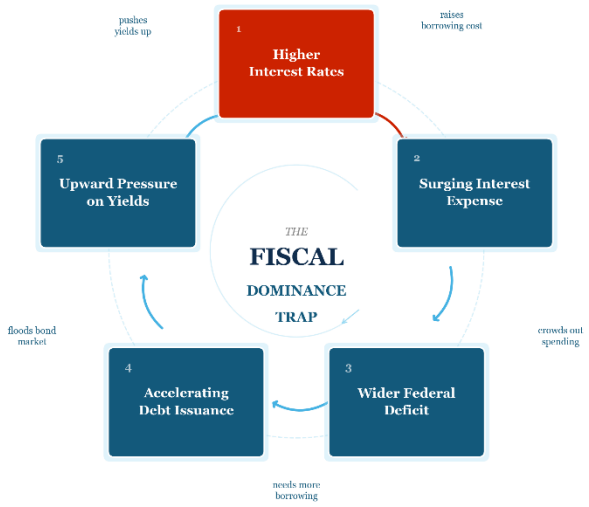
The debt ceiling, a statutory limit on total federal borrowing that must be periodically raised by Congress, has become a recurring source of self-inflicted credibility damage. In 2011, a prolonged debt ceiling standoff led Standard & Poor's to downgrade the U.S. sovereign rating from AAA to AA+ (S&P Global Ratings, 2011), the first such downgrade in history. In 2023, Fitch Ratings followed suit, citing "the repeated debt-limit political standoffs and last-minute resolutions" as evidence of governance deterioration (Fitch Ratings, 2023). Both downgrades were met with market indifference in terms of immediate yield impact, but they are symptomatic of a deeper erosion in institutional credibility that compounds over time.

The political economy of U.S. fiscal adjustment is deeply unfavorable. Mandatory spending programs, such as Social Security, Medicare, Medicaid, and interest payments, consume over 75% of total federal spending and are growing as a share of the budget due to demographic pressures (an aging population) and rising healthcare costs (CBO, 2025b). Discretionary spending has already been compressed relative to historical norms. Revenue as a share of GDP has remained largely flat at approximately 17–18% for decades (OMB, 2025), and there is no political constituency for the tax increases that would be necessary to close the gap.

The 2017 Tax Cuts and Jobs Act and its anticipated extension or expansion further illustrate the political dynamic: both parties compete to offer tax reductions or spending increases, while neither proposes the fiscal consolidation that the arithmetic demands (CBO, 2024). The result is a ratchet effect in which deficits widen in bad times (through automatic stabilizers and stimulus) and fail to narrow in good times (through political unwillingness to impose austerity).

The Self-Reinforcing Debt Spiral

How fiscal dominance traps monetary policy — each step in the cycle worsens the next



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IV. The Anatomy of Implicit Default

4.1 Distinguishing Explicit from Implicit Default

An explicit U.S. sovereign default (a missed payment of principal or interest on Treasury securities) remains a low-probability event, not because the fiscal position is sound, but because the institutional and political costs of explicit default are catastrophic and because the U.S. government retains the ability to create the dollars necessary to service dollar-denominated debt (Reinhart & Rogoff, 2009). The relevant question is not whether the United States can pay, but what it pays with and what that payment is worth.

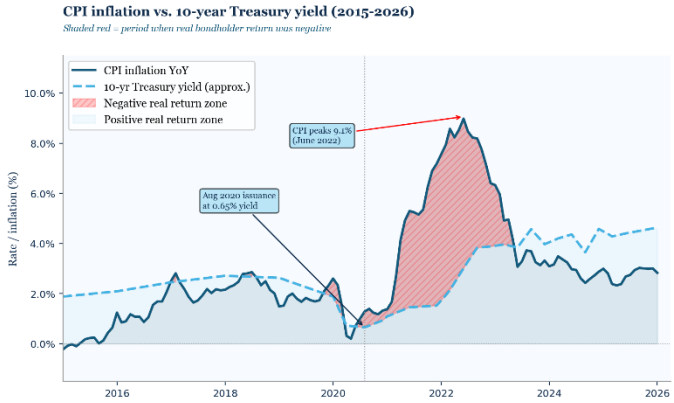
Implicit default occurs when creditors receive their nominal payments in full but suffer a loss in real terms. This can happen through three primary channels, each of which is already operating to varying degrees.

4.2 Channel 1: Inflation

Sustained inflation above the level priced into Treasury yields at the time of issuance constitutes a transfer of wealth from bondholders to the government. The 2021–2023 inflation episode, during which cumulative CPI inflation exceeded 20%, delivered precisely this outcome for holders of Treasuries issued at near-zero yields during 2020–2021 (BLS, 2024). A 10-year Treasury note issued in August 2020 at a yield of 0.65% will deliver a deeply negative real return over its life if inflation averages anything close to its recent pace (U.S. Treasury, 2020).

The risk is not a repeat of 9% headline inflation but rather a persistent regime of 3–4% inflation, sufficiently elevated to erode real debt burdens over time, but not so dramatic as to trigger a full-scale bond market revolt. This is the most historically common form of implicit sovereign default, and it is the path of least political resistance (Reinhart & Sbrancia, 2015).

Section IV | The anatomy of implicit default - Channel 1: Inflation

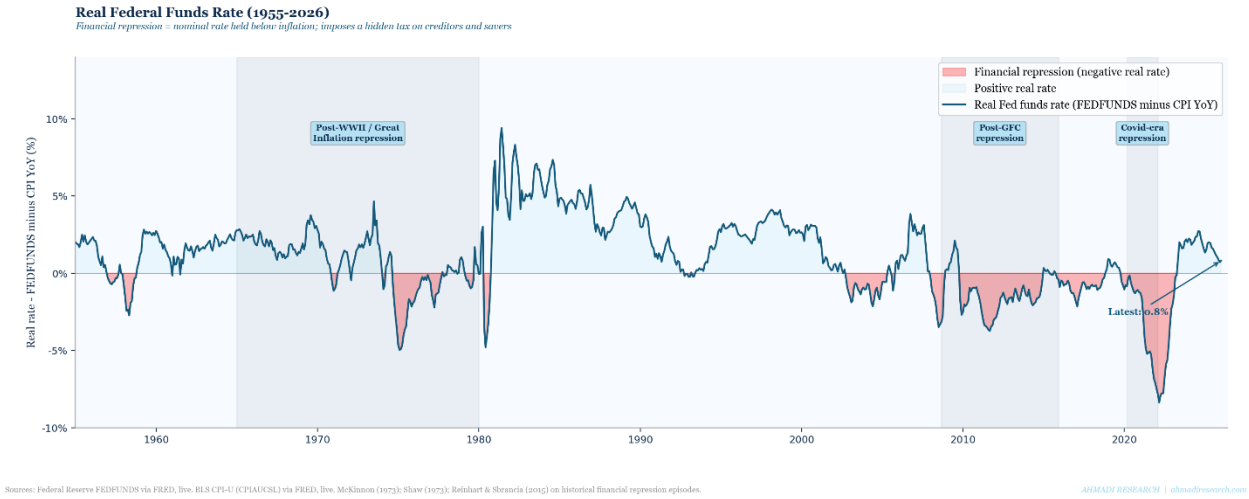


Sources: BLS CPI-U (CPIAUCSL) via FRED, live. 10-yr yield: representative series (Federal Reserve / U.S. Treasury). Aug 2020 yield cited in document (U.S. Treasury, 2020). BLS (2024).

4.3 Channel 2: Financial Repression

Financial repression refers to a constellation of policies that hold interest rates below the rate of inflation, effectively imposing a hidden tax on savers and creditors (McKinnon, 1973; Shaw, 1973). Regulatory requirements that force banks and pension funds to hold government securities, caps on deposit rates, and central bank yield-curve control are all tools of financial repression. The United States employed aggressive financial repression from the 1940s through the 1970s to reduce its post-World War II debt burden, keeping nominal interest rates capped while inflation ran moderately above those rates (Reinhart & Sbrancia, 2015).

Section IV | The anatomy of implicit default - Channel 2: Financial repression

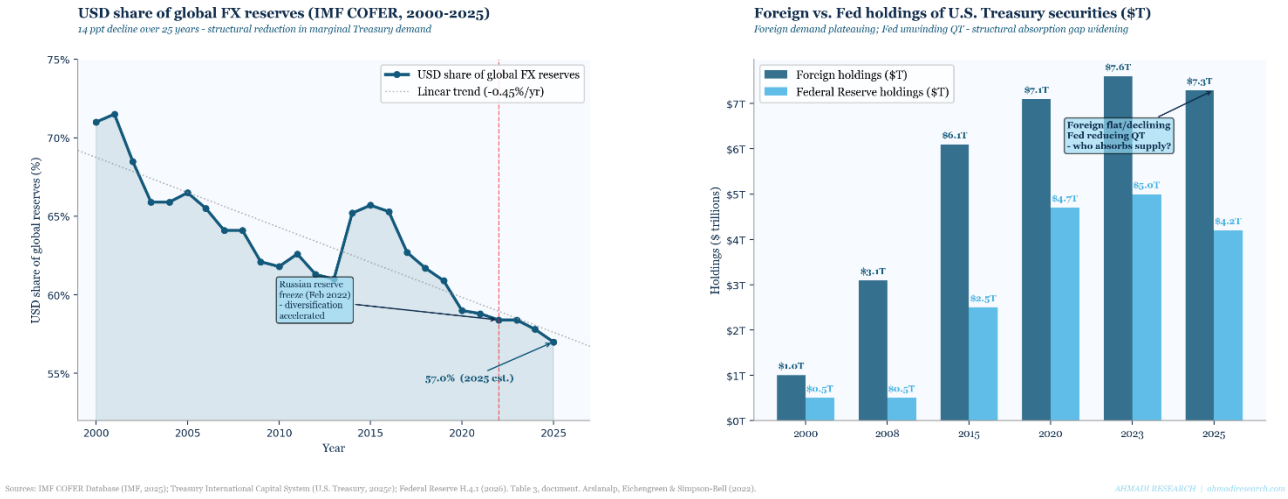


While the Federal Reserve has not implemented explicit yield-curve control in the manner of the Bank of Japan, quantitative easing programs that suppressed long-term yields served a functionally similar purpose. Any future return to large-scale asset purchases, which may become necessary to absorb Treasury issuance that private markets are unwilling to absorb at current yields, would represent a de facto return to financial repression.

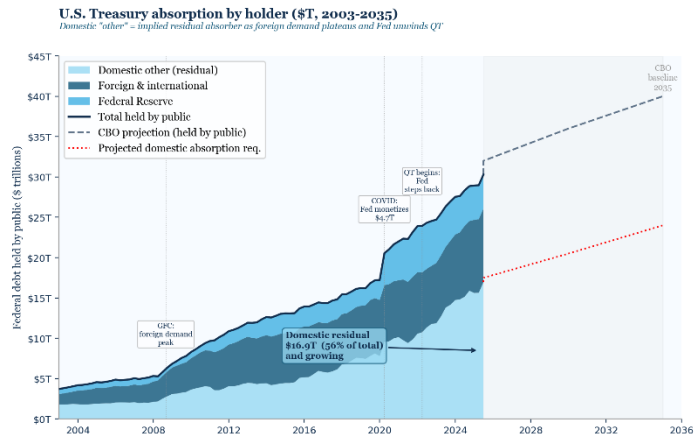
4.4 Channel 3: Dollar Debasement

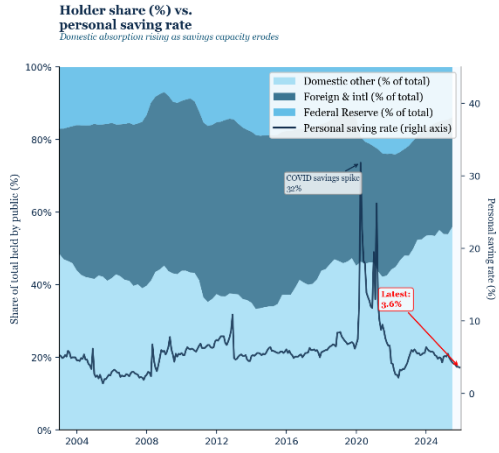
For foreign creditors, implicit default can also occur through depreciation of the dollar against other currencies. Foreign holders of U.S. Treasuries bear exchange-rate risk in addition to inflation risk; a decline in the dollar's value reduces the purchasing power of their Treasury holdings in domestic-currency terms. The dollar's share of global foreign exchange reserves has declined from over 70% in 2000 to approximately 57% as of 2025, according to IMF COFER data (IMF, 2025). While this decline has been gradual, it reflects a slow but persistent diversification by central banks that accelerated after the U.S. weaponization of the dollar-based financial system through sanctions (most notably the freezing of Russian central bank reserves in 2022) (Arslanalp, Eichengreen & Simpson-Bell, 2022).

Section IV | The anatomy of implicit default - Channel 3: Dollar debasement



Section IV | The anatomy of implicit default - Who absorbs U.S. Treasury supply?





Sources: FYGFDPUN, FDHBFIN, TREASI, PSAVERT via FRED (live). CBO Long-Term Budget Outlook (2023b) for projection anchors. Domestic "other" = held by public minus foreign & international minus Federal Reserve. Arslanalp, Eichengreen & Simpson-Bell (2022); U.S. Treasury TIC (2025).

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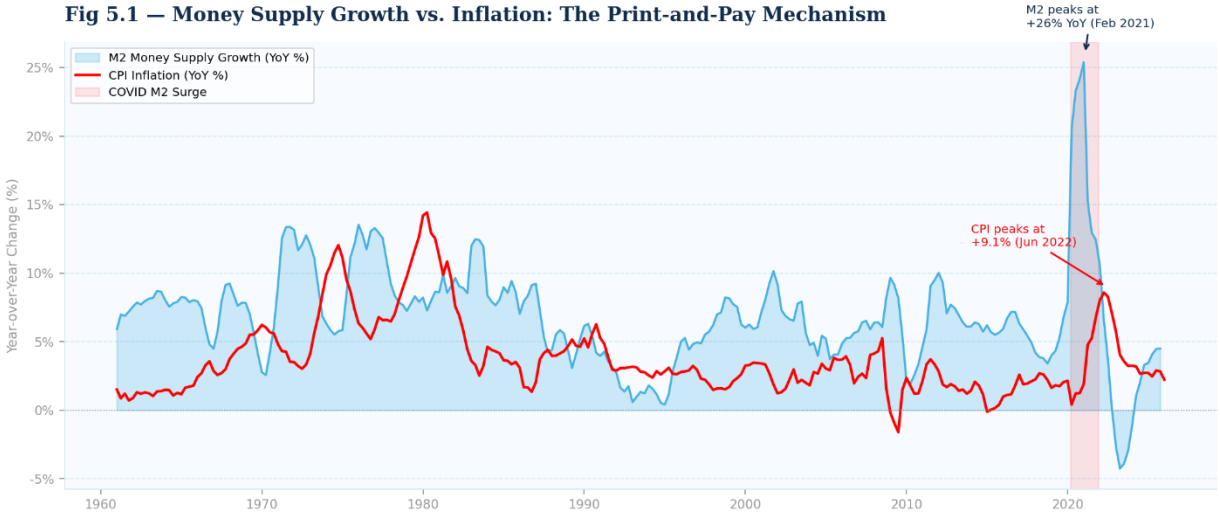
V. Addressing the Counterarguments

5.1 "The U.S. Can Always Print"

The most common dismissal of U.S. default risk rests on the observation that, because U.S. debt is denominated in a currency the U.S. government can create, technical default is impossible. This is arithmetically correct and analytically empty. The ability to print money to meet nominal obligations is precisely the mechanism through which implicit default occurs (Cochrane, 2023). Weimar Germany, 1990s Zimbabwe, and 2010s Venezuela all "paid" their debts in nominal terms while destroying the real value of their currencies (Reinhart & Rogoff, 2009). The United States is not these economies, but the principle is the same: the power to create money is the power to debase money, and the exercise of that power beyond certain limits constitutes default in everything but name.

The more sophisticated version of this argument holds that the dollar's reserve status creates a structural demand for Treasuries that gives the U.S. far more fiscal space than other sovereigns (Prasad, 2014). This is true but time-variant. Reserve status is earned through decades of credible behavior and can be lost through sustained abuse. The demand for Treasuries as reserve assets is a function of confidence, and confidence is a function of the very fiscal metrics that are deteriorating.

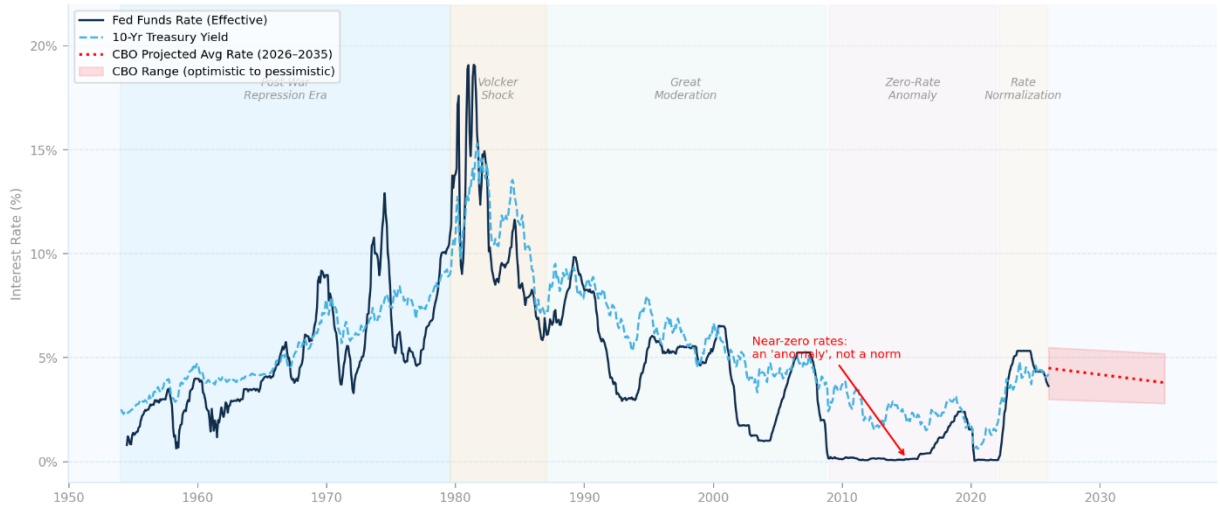
Fig 5.1 — Money Supply Growth vs. Inflation: The Print-and-Pay Mechanism



5.2 "Interest Rates Will Come Back Down"

Some analysts argue that the current elevated rate environment is transitory and that a return to near-zero rates will ease fiscal pressures. This view faces two challenges. First, even if rates decline from current levels, they are unlikely to return to the anomalous near-zero regime of 2009–2021, which was the product of unique disinflationary forces (post-GFC deleveraging, globalization-driven cost suppression, demographic savings gluts) that are now reversing (Goodhart & Pradhan, 2020). Second, even a moderate decline in rates does not solve the fiscal problem if primary deficits remain large. The CBO's baseline already assumes a gradual decline in interest rates and still projects an exploding debt trajectory (CBO, 2025b). The problem is structural, not cyclical.

Fig 5.2 — Federal Funds Rate & Treasury Yields: The End of the Zero-Rate Anomaly



5.3 "Growth Will Solve the Problem"

The post-World War II debt reduction was accomplished largely through rapid real GDP growth that outpaced the interest rate on debt. For a similar dynamic to operate today, the United States would need sustained real growth of 3–4% per year for decades, a rate not achieved since the 1990s and inconsistent with projected demographic and productivity trends (Gordon, 2016). The CBO projects average real GDP growth of approximately 1.8% over the next decade (CBO, 2025a). Even optimistic AI-driven productivity scenarios struggle to close the gap between the growth rate and

Fig 5.3A — The r − g Spread: When Debt Becomes Self-Perpetuating

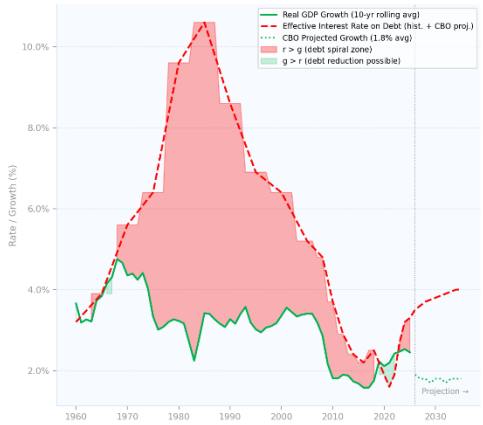


Fig 5.3B — Required vs. Projected Growth: Historical Debt Reduction Episodes

Sources: FRED (GDPC1, FEDFUNDS); U.S. Treasury Average Interest Rate on Debt; CBO Budget & Economic Outlook 2025; OMB Historical Tables. Ahmadi Research, Feb 2026.

the effective interest rate when primary deficits are persistently negative.

5.4 "Japan Has Higher Debt and Is Fine"

Japan's debt-to-GDP ratio exceeds 250%, and it has not defaulted. The comparison is instructive but not reassuring. Japan's debt is overwhelmingly held domestically, its current account is in surplus, its household savings rate is high, and the Bank of Japan has been the buyer of last resort for decades through explicit yield-curve control (Bank of Japan, 2024; IMF, 2024). The United States, by contrast, runs persistent current account deficits, relies heavily on foreign capital inflows, has a negative household savings rate in recent years, and cannot engage in open financial repression without risking an immediate and destabilizing capital flight (BEA, 2025). Japan's experience demonstrates that high debt can persist for a long time; it does not demonstrate that it can persist indefinitely or that the U.S. can replicate Japan's conditions.

Fig 5.4 — Japan vs. United States: Why High Debt Is Not Equivalent

Fig 5.4A — Debt / GDP

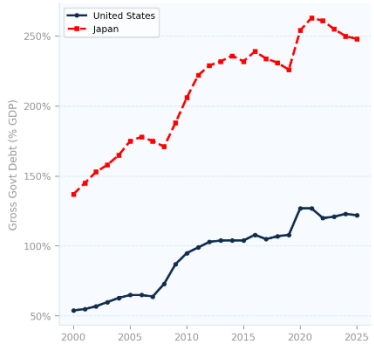


Fig 5.4B — Current Account

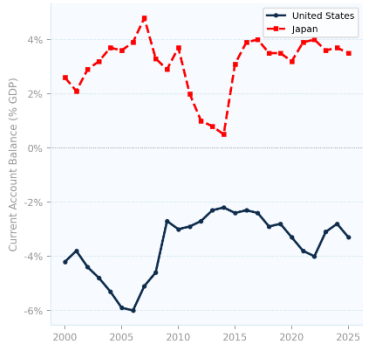


Fig 5.4E — CB Balance Sheet

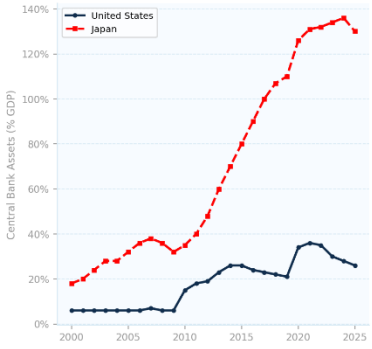


Fig 5.4C — Household Savings Rate

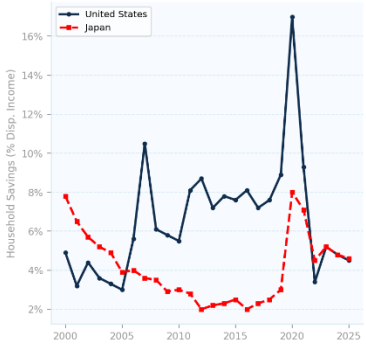


Fig 5.4D — Foreign Ownership %

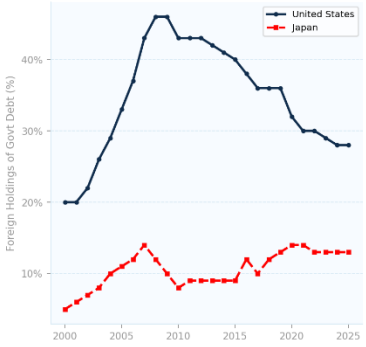


Fig 5.4F — Why the Japan Analogy Fails

Dimension	United States	Japan	Risk Flag
Debt / GDP	~122%	~250%	Japan higher
Current Account	-3% deficit	+3.5% surplus	U.S. at risk
Household Savings	~4.5%	~4.6%	Comparable
Foreign Ownership	~28% of debt	~13% of debt	U.S. at risk
CB Assets / GDP	~26%	~130%	Japan more represse
Currency Risk	High	Low	U.S. at risk
Capital Controls?	None	Partial	U.S. at risk
BoLR commitment?	None explicit	BoJ (explicit)	U.S. at risk

Sources: IMF WEO; OECD National Accounts; Federal Reserve H.4.1; Bank of Japan; U.S. Treasury TIC. Data to 2025. Ahmadi Research, Feb 2026.

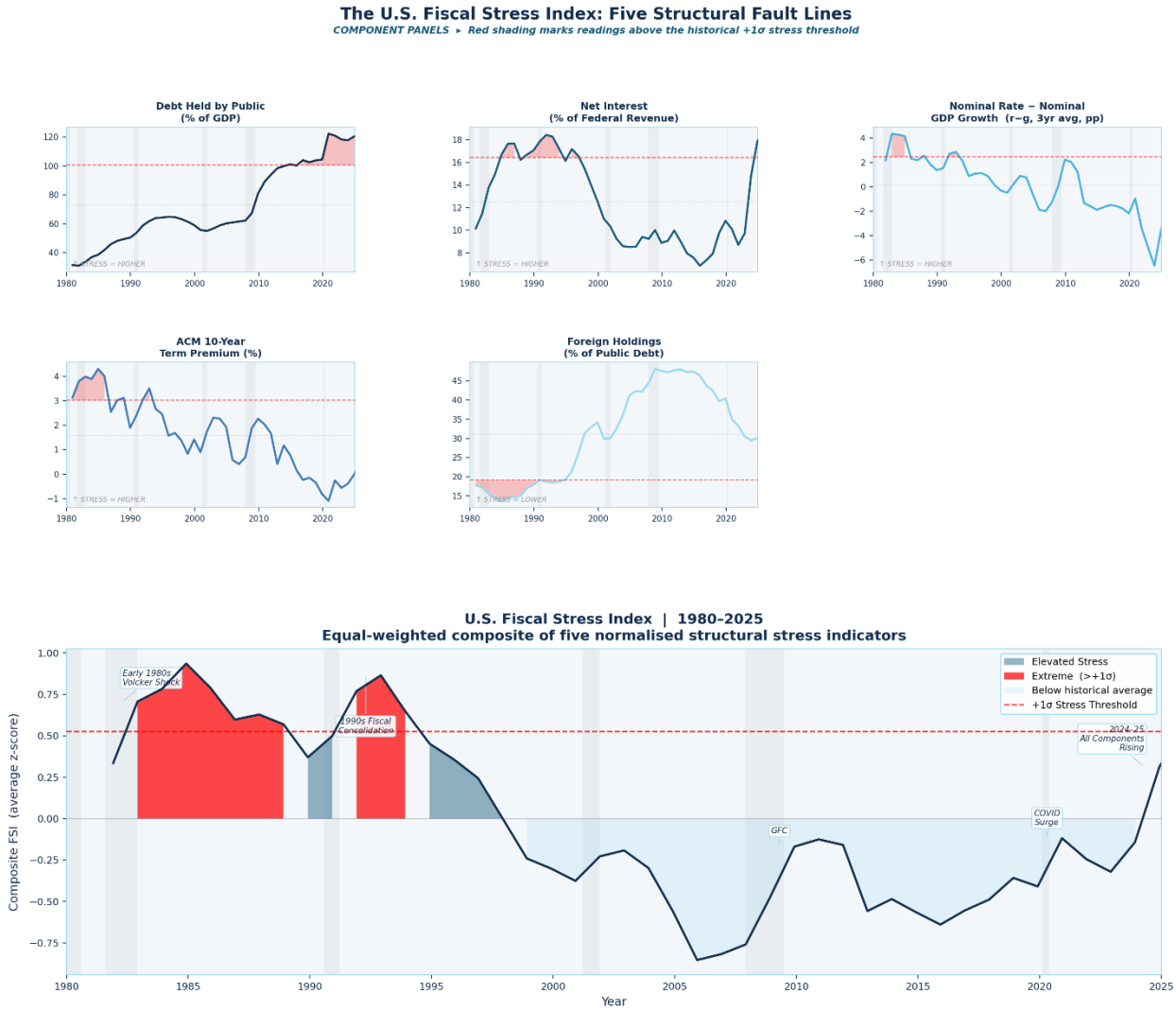
VI. Why This Moment Is Different

6.1 The Confluence of Adverse Factors

Prior episodes of elevated U.S. debt were characterized by at least one favorable tailwind: rapid growth (post-WWII), falling interest rates (post-2008), or political capacity for fiscal adjustment (1990s deficit reduction). The current episode lacks all three. Growth is structurally slower due to demographic headwinds and declining labor-force participation. Interest rates have normalized after a decade of artificial suppression and show no signs of returning to the zero lower bound. And political polarization has rendered bipartisan fiscal compromise functionally impossible.

6.2 The Weaponization of the Dollar

The decision in 2022 to freeze approximately $300 billion in Russian central bank reserves held in Western financial institutions, while justified on geopolitical grounds, fundamentally altered the calculus for foreign holders of dollar-denominated assets (Arslanalp, Eichengreen & Simpson-Bell, 2022). It demonstrated that dollar reserves are not truly sovereign property but are contingent on alignment with U.S. foreign policy objectives. Central banks in China, India, Saudi Arabia, and across the Global South have accelerated reserve diversification in response, increasing gold holdings and exploring alternative payment systems (World Gold Council, 2025). This is not yet a crisis, but it represents a



Sources: Federal Reserve Bank of St. Louis (FRED): GFDEGDQ188S, FYOIGDA188S, FYFRGDA188S, GS10, GDP, FDHBFIN, FYGFDPUN. Federal Reserve Bank of New York: ACM Term Premium Model.
Methodology: (i) Debt/GDP level, (ii) Net interest as % of federal revenue, (iii) Nominal rate − nominal GDP growth 3yr avg (r−g), (iv) 10yr ACM term premium, (v) Foreign Treasury holdings % of public debt (inverted).
Each component z-scored over the 1980–2025 sample. Composite = equal-weighted average. NBER recession shading shown.

structural reduction in the marginal demand for Treasuries at a time when supply is expanding relentlessly.

6.3 The Eroding Institutional Framework

The credibility of U.S. fiscal institutions depends on a perception that, when necessary, the political system will act to prevent a fiscal catastrophe. This perception is increasingly difficult to sustain. The recurring debt ceiling crises, the inability to pass a federal budget through regular order (continuing resolutions have become the norm rather than the exception), the credit rating downgrades by two of three major agencies (S&P Global Ratings, 2011; Fitch Ratings, 2023), and the growing prominence of fiscal nihilism in political discourse (the explicit argument that deficits do not matter) all contribute to a slow but measurable erosion of institutional credibility.

For foreign creditors and reserve managers, the question is no longer whether the United States will face a fiscal reckoning, but when and in what form. The rational response to this uncertainty is gradual diversification, precisely the behavior we observe in the data.

6.4 The Nonlinear Risk

Fiscal crises do not unfold linearly. They proceed gradually, then suddenly (Reinhart & Rogoff, 2009). The U.K.'s 2022 gilt market crisis in which a modest fiscal package triggered a cascading sell-off that forced a prime ministerial resignation within weeks demonstrates how quickly confidence can evaporate in sovereign bond markets (Bank of England, 2022). The United States' deeper and more liquid market provides a larger buffer against such sudden stops, but it does not provide immunity. A failed Treasury auction, a geopolitical shock that triggers coordinated foreign selling, or a loss of confidence in the Federal Reserve's willingness to maintain price stability could trigger a nonlinear repricing of U.S. sovereign risk. The probability of such an event in any given year may be low, but it is no longer negligible, and it is growing.

VII. Investment and Geopolitical Implications

7.1 For Fixed-Income Investors

The traditional role of U.S. Treasuries as a risk-free asset and portfolio ballast is undergoing a fundamental reassessment. Long-duration Treasuries are no longer risk-free in real terms; they are a leveraged bet on the continuation of moderate inflation and the maintenance of dollar purchasing power. Investors with long-duration liabilities, such as pension funds, insurance companies, endowments, face a structural mismatch between the nominal certainty of Treasury payments and the real uncertainty of those payments' value. TIPS (Treasury Inflation-Protected Securities) provide partial protection, but their breakeven spreads reflect current inflation expectations that may prove too sanguine.

7.2 For Global Reserve Managers

The slow-motion diversification away from dollar reserves will accelerate as the fiscal position deteriorates. Gold, which has appreciated from approximately $1,800/oz in early 2023 to over $2,700/oz in early 2026, is the primary beneficiary of this trend, as it is the only reserve asset that carries no counterparty or sovereign risk (World Gold Council, 2025). The Chinese yuan is unlikely to serve as a full alternative reserve currency given China's capital controls and institutional opacity, but bilateral currency arrangements, commodity-backed trade settlement, and digital currency innovations will continue to chip away at dollar dominance at the margin (Eichengreen, Mehl & Chifu, 2018).

7.3 For the Global Economic Order

The most consequential implication is the erosion of the United States' ability to function as a reliable anchor for the global economic system. The Pax Americana economic order rested on two pillars: military security guarantees and monetary/financial stability. Both pillars are cracking simultaneously. The weaponization of the dollar undermines the second pillar directly. The fiscal constraints imposed by unsustainable debt dynamics will eventually undermine the first, as defense spending is crowded out by mandatory spending and debt service.

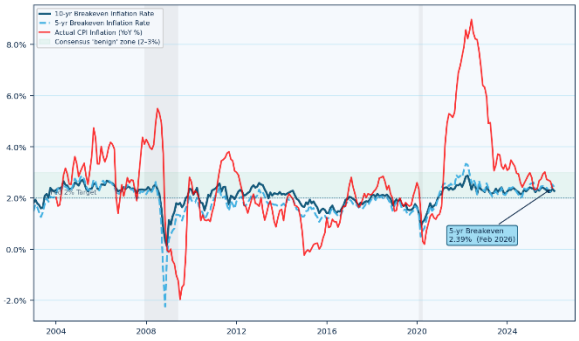
The world is entering a period of monetary multipolarity, not because any single alternative has emerged to replace the dollar, but because the dollar's claim to unquestioned supremacy is no longer supported by the fundamentals. This transition will be messy, volatile, and protracted. It will impose costs on all participants, but especially on those who remain most concentrated in dollar-denominated assets.

Section VII — Investment & Geopolitical Implications

The Unraveling Guarantee | February 2026

[A] TIPS Breakeven Spreads vs. Actual CPI Inflation

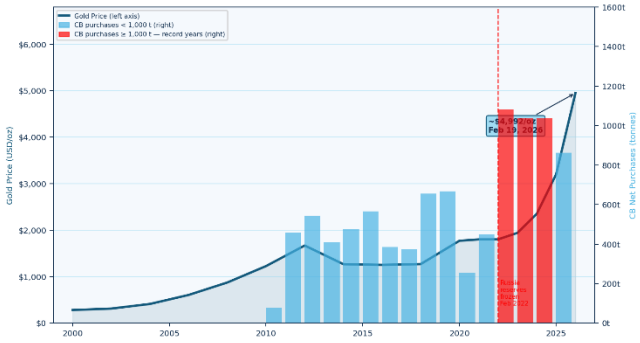
Market pricing a benign 2–3% outcome despite fiscal dynamics that suggest upside risk



Source: FRED: T10YIE, T5YIE, CPIAUCSL | NBER recession shading

[B] Gold Price & Central Bank Net Purchases

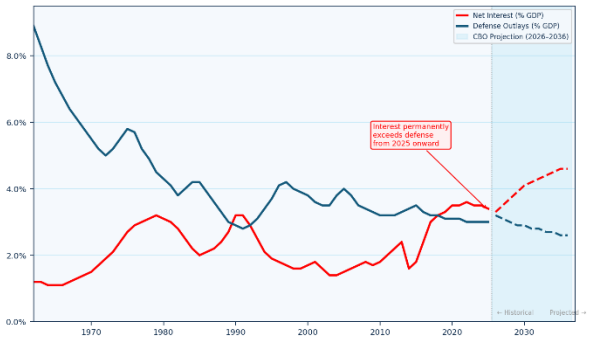
Sanctions risk drove CB buying above 1,000 t/yr in 2022–24; gold now ~20% of official reserves, surpassing the euro



Source: WGC Gold Demand Trends 2025; WGC / Macrotrends gold price series

[C] Net Interest vs. Defense Spending — % of GDP

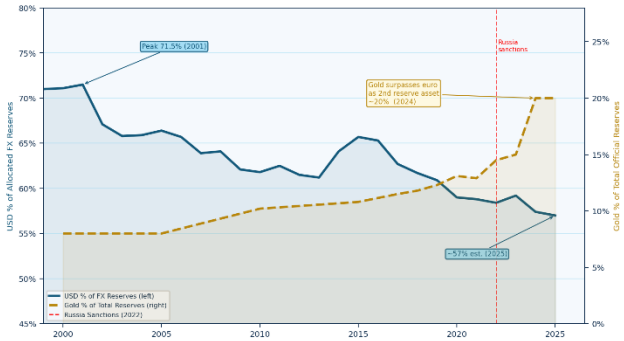
CBO: interest exceeds defense 2025–2036+; defense as % GDP approaching lowest since pre-WWII



Source: OMB Historical Tables (FYOINT, FDEFX); CBO Budget & Economic Outlook, Feb 2026

[D] Dollar Reserve Share vs. Gold Share of Official Reserves

USD down ~14 pts since 2001; gold doubled as share of reserves, overtaking the euro in 2024



Source: IMF COFER Database; WGC Gold Demand Trends 2025; ECB International Role of the Euro 2025

Data: FRED (Federal Reserve Bank of St. Louis) | IMF COFER Database | World Gold Council Gold Demand Trends 2025 | CBO Budget & Economic Outlook, Feb 2026 | OMB Historical Tables

VIII. Conclusion: The Arithmetic Is Unforgiving

The United States is not on the verge of an Argentine-style sovereign crisis. Its institutions, despite their degradation, remain stronger than those of most nations. Its economy, despite its imbalances, remains the largest and most dynamic in the world. Its military, despite the fiscal constraints ahead, remains unmatched. These are real advantages that buy time. But they do not buy solvency.

The arithmetic of U.S. sovereign debt is unforgiving. When the effective interest rate on the debt exceeds the growth rate of the economy, and the government runs persistent primary deficits, the debt-to-GDP ratio rises without bound absent a fiscal correction (Blanchard, 2019). All three conditions hold today and are projected to hold for the foreseeable future (CBO, 2025). No politically plausible combination of spending cuts and revenue increases can close the gap. The only remaining levers are inflation (implicit default), financial repression (implicit default), or outright monetization (also implicit default). The question is not whether creditors will bear losses, but how those losses will be distributed and over what time horizon.

For the rest of the world, the implication is stark. The United States, which has served as the anchor of the global monetary system for eight decades, has become a source of systemic risk rather than a guarantor of stability. The transition to whatever comes next will define the macroeconomic landscape for a generation.

We do not know when the inflection point will arrive. We do not know what form it will take. What we know is that the trajectory is unsustainable, the political capacity for correction is absent, and the window for orderly adjustment is closing. Investors and policymakers who fail to position for this reality do so at their own risk.

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